WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

MADAGASCAR

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Antananarivo	Capital and seat of government; home to the main financial institutions, the investment agency and the core of the export-oriented textile and services cluster	Textiles and apparel, financial services, business process outsourcing, construction
Toamasina (east coast)	Principal deep-water port and main gateway for international trade, with an international container terminal under long-term concession and a port extension under way	Port logistics, nickel and cobalt processing, trade and warehousing
Moramanga / Alaotra-Mangoro	Site of the Ambatovy nickel-cobalt mine, which produced around 29,000 tonnes of nickel in 2025 and restarted after cyclone repairs in May 2026	Mining, mining services, rail and pipeline logistics
Toliara (south-west)	Location of the Toliara (Vara Mada) mineral sands project, whose January 2026 feasibility study shows a 38-year mine life and a net present value of $1.8 billion	Critical minerals (ilmenite, zircon, rutile, monazite), port and infrastructure
Tolagnaro / Fort-Dauphin (Anosy)	Established ilmenite-mining region linked to the Rio Tinto-operated QMM mine and the Ehoala port	Mineral sands, port services, tourism
SAVA region (Sambava, Antalaha)	Heartland of vanilla production; vanilla and spices make up around a fifth of exports to the United States	Vanilla, spices, agro-processing, traceability and export services
Nosy Be and Antsiranana (north)	Leading island tourism destination and a large natural deep-water bay in the far north	Tourism and hospitality, fisheries and the blue economy

INVESTOR ENTRY ROUTES

- Economic Development Board of Madagascar (EDBM), the investment promotion agency and one-stop shop for company registration, tax and social security numbers, investor visas and work permits
- Investment Code (Law No. 2023-002 of 27 July 2023) permitting up to 100% foreign ownership in most sectors (telecoms capped at 66%) and providing for ICSID arbitration of investor-state disputes

- Free Zone regime (Law No. 2007-037) for export-oriented companies exporting at least 95% of output, offering 2–15 years of tax exemptions and duty-free inputs; more than 225 companies use it, 46% in textiles
- Mining Code (Law No. 2023-007) which ended the suspension of new mining permits in place since 2010, with a 5% royalty and Malagasy employment requirements
- Banky Foiben'i Madagasikara (central bank) oversight of the floating ariary; export proceeds must be repatriated within 90 days (goods) or 30 days (services), and larger outward transfers require approval in practice
- Long-term land access through renewable emphyteutic leases of up to 99 years, as foreign investors cannot hold freehold title directly
- Power-sector entry through independent generation and renewable projects, including self-generators selling surplus power under regulator conditions and the planned 120 MW Volobe hydropower scheme

MARKET-ENTRY OBSERVATION

Madagascar in October 2026 offers investors world-class mineral, agricultural and tourism assets backed by continued engagement with international financial institutions. GDP grew 4.3% in 2024 and an estimated 3.1% in 2025, a year marked by a political transition, and the IMF projects a recovery to 3.8% in 2026 and 4.5% in 2027. On 30 September 2026 the IMF Executive Board completed the combined third and fourth reviews of Madagascar's $658 million Extended Credit Facility and Resilience and Sustainability Facility programmes, releasing about $155 million and noting that all end-December 2025 quantitative performance criteria were met. Foreign direct investment rose to $304 million in 2025 from $231 million in 2024, lifting the inward stock to $5.25 billion, while gross reserves reached $3.68 billion at end-June 2026, around seven months of imports, and the ariary appreciated about 7% against the dollar in the first half of the year. The 2023 Investment Code and Mining Code, the reopening of mining permits and a transition government focused on agriculture, energy, infrastructure and governance provide the framework for new entry.

Madagascar's main structural challenge is infrastructure resilience, above all reliable electricity and water and the capacity to absorb tropical cyclones. Cyclone damage in early 2026 temporarily halted the Ambatovy nickel mine, yet operations restarted within about three months, demonstrating the recovery capacity of the country's largest industrial assets. The authorities are addressing the underlying constraints: a recovery plan for the national utility JIRAMA, an automatic fuel-pricing mechanism to be fully applied by January 2027, Madagascar's first green budget and a National Climate Finance Strategy under the IMF's resilience programme, and a new World Bank energy programme targeting reliable power for more than 2.5 million people by 2030. For investors, the energy gap is itself the opportunity, with strong demand for hydropower, solar, mini-grid and storage capacity, and for climate-resilient ports, roads and agricultural supply chains.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Political transition and African Union suspension	A military-led transition has governed since October 2025 and the African Union has suspended Madagascar; SADC has not, and a national consultation (September 2026–March 2027) is to precede a constitutional vote and elections in 2027	Take legal advice on contract authority and stabilisation clauses, use ICSID arbitration provisions, and position for the improved certainty expected as the transition roadmap is delivered
AGOA eligibility review	The United States extended AGOA to December 2028 in September 2026, but country eligibility is reviewed annually and Madagascar's status for 2027 depends on that review; textiles are about half of exports to the US	Diversify toward the EU, which takes around 31.5% of goods exports, and regional markets; build eligibility scenarios into apparel investment decisions
Electricity and water reliability	Supply from the state utility JIRAMA remains intermittent, so many firms rely on self-generation	Budget for captive or hybrid solar power; the JIRAMA recovery plan and World Bank energy programme create openings for independent power producers
Cyclone exposure	Tropical cyclones periodically disrupt infrastructure and production, as in early	Apply climate-resilient design and insurance; the swift Ambatovy restart and

Issue	Potential Impact	Possible Mitigation
	2026	new climate-finance framework support recovery
Foreign-exchange repatriation rules	Export proceeds must be repatriated within 30–90 days and larger outward transfers require approval in practice, despite the Investment Code's free-transfer provisions	Agree transfer arrangements with the central bank and EDBM at entry; Free Zone status provides for free transfer of funds when activities end
Governance and contract stability	Madagascar ranked 140th of 180 in the 2024 Corruption Perceptions Index, up from 145th, and large-project terms such as the Toliara fiscal agreement have been renegotiated after the transition	Seek written fiscal and legal stability terms, conduct robust due diligence and engage the anti-corruption bodies, which include a dedicated anti-corruption court
Inflation and limited fiscal space	The IMF projects inflation of 9.3% at end-2026, and tax revenue is around 10–11% of GDP	Index local-currency contracts; the central bank's tight policy stance and IMF-backed revenue reforms support stabilisation

INVESTOR RISK NOTE

Madagascar's risk profile combines a political transition with exceptional resource and agricultural endowments and continued international financial support. The October 2025 change of government led the African Union to suspend Madagascar, and investors should treat this as a material governance and compliance consideration, taking legal advice on counterparties, contract authority and the stability of agreed terms. At the same time, SADC has kept Madagascar engaged, the transition roadmap provides for a national consultation, a constitutional vote and elections in 2027, and the IMF completed its programme reviews in September 2026, releasing about $155 million. Reserves of around seven months of imports and an appreciating ariary in the first half of 2026 provide a buffer. The principal operational risks, namely power reliability, cyclone exposure, foreign-exchange procedures and the annual AGOA eligibility review, can be managed through captive power, resilient design, clear transfer arrangements agreed at entry and diversified export markets. Investors who establish relationships during the transition will be well placed as institutional normalisation proceeds.

MARKET ACCESS

Madagascar is a member of the Southern African Development Community (SADC), the Common Market for Eastern and Southern Africa (COMESA) and the Indian Ocean Commission, a WTO member since 1995, and ratified the African Continental Free Trade Area agreement in November 2024. It applies an interim Economic Partnership Agreement with the EU as part of the Eastern and Southern Africa group, and the EU is its largest export destination, taking around 31.5% of goods exports in 2024, while the United States took 15.4%. AGOA, extended in September 2026 to December 2028, provides duty-free US access for eligible countries, and Madagascar's apparel, vanilla and titanium-ore exports have been its main beneficiaries. Toamasina is the main gateway to Indian Ocean shipping lanes, complemented by Ehoala and Toliara in the south, positioning Madagascar on routes linking Southern Africa, the Gulf and Asia.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Refoundation of the Republic (Col. Michael Randrianirina)	Leads the transition and its roadmap toward a constitutional vote and elections in 2027; large investment projects are referred to the Presidency	Primary reference point for strategic direction and for approval of major projects
Economic Development Board of Madagascar (EDBM)	Investment promotion agency and one-stop shop for registrations, visas and permits	Standard first point of contact for market entry and incentive guidance
Banky Foiben'i Madagasikara (central bank)	Sets monetary policy, manages the floating ariary and oversees foreign-exchange transfers	Key counterpart for repatriation, transfer approvals and banking matters

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Economy and Finance	Leads fiscal policy, the IMF programme, tax incentives and approvals of larger foreign-currency transfers	Relevant for fiscal terms, incentives and macroeconomic dialogue
Ministry of Mines	Administers the 2023 Mining Code, permits and large mining agreements, including the Toliara negotiations	Essential partner for any mining or critical-minerals investment
JIRAMA (national electricity and water utility)	State utility at the centre of the power-sector recovery plan supported by the IMF and World Bank	Key offtaker and counterpart for independent power and water projects
Fonds Souverain Malagasy (sovereign wealth fund)	State investment vehicle established in 2022 that holds interests linked to mining revenues	Potential co-investment partner in strategic projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Madagascar, the Chambre de Commerce et d'Industrie France Madagascar and the Groupement des Entreprises de Madagascar (GEM) are the leading business associations, alongside the Groupement des Entreprises Franches et Partenaires (GEFP) for export-processing and textile investors. The EDBM organises investor outreach and sector briefings. The World Bank, IFC, African Development Bank and the European Union maintain active programmes in energy, infrastructure, agriculture and private-sector development, and the IMF's ongoing programme provides a regular window on policy direction. Major mining operators at Ambatovy, QMM and Toliara are a useful source of practical intelligence on permitting, logistics and community engagement.

INVESTOR PROFILE BEST SUITED

Madagascar best suits investors with a long-term horizon and experience of frontier markets: mining and critical-minerals investors drawn by nickel, cobalt, ilmenite, zircon and rare earths; renewable-energy and infrastructure investors responding to a large and well-identified power gap; apparel and light-manufacturing investors using the Free Zone regime and preferential access to the EU and US; agribusiness investors in vanilla, spices and other high-value crops; and tourism investors in Nosy Be and coastal destinations. DFI-backed and blended-finance structures are particularly well suited during the transition, and all investors should build political-transition and climate scenarios into project planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the EDBM and confirm the applicable regime
Use the one-stop shop to register, and confirm whether the Investment Code, Free Zone or Mining Code framework best fits the project.

STEP 2: Obtain transition-period legal and political advice
Take local and international legal advice on contract authority, stabilisation clauses and ICSID protections, and track the national consultation and the 2027 constitutional and electoral timetable.

STEP 3: Agree foreign-exchange arrangements at the outset
Clarify repatriation and transfer procedures with the central bank and the Ministry of Economy and Finance before committing capital.

STEP 4: Plan for power and climate resilience
Build captive or hybrid renewable power, cyclone-resilient design and insurance into project economics, and explore partnership opportunities linked to the JIRAMA recovery plan.

STEP 5: Partner with development finance institutions
Engage the World Bank, IFC, African Development Bank and European partners to access co-financing and risk-mitigation instruments for energy, infrastructure and agribusiness projects.